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The Editor-in-Chief
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Dear Editor-in-Chief,

I am pleased to submit for your consideration the manuscript entitled **"What Financial Statements Can and Cannot Reveal About Monetary Transmission to Corporate Balance Sheets: A Five-Country Emerging-Market Test"** for publication in *Borsa Istanbul Review*.

**Motivation.** A productive literature shows that firms holding floating-rate debt bear the brunt of monetary tightening. It rests almost entirely on supervisory credit registries that record contract-level repricing terms. Most emerging markets have no such registry available to researchers; what they have is published financial statements. This paper asks, formally and empirically, whether the accounting record can substitute—and it matters, because the answer determines how far this literature can travel.

The paper takes as its point of departure Şengül and Çinko's recent contribution to this journal (2026, 26(4), 100837), which uses Turkish administrative data and a Double Machine Learning design to identify heterogeneous effects of the June 2023 tightening. My aim is complementary rather than critical: I ask what becomes possible, and what does not, when the administrative layer they exploit is unavailable. I use their setting as one of five countries and adopt their substantive question as the target.

**What the paper does.** I develop a measurement framework in which exposure is estimated rather than observed, deriving seven propositions, and take their predictions to harmonised panels of listed non-financial firms in five emerging markets—Türkiye, Vietnam, Poland, Israel and South Korea—over 2010–2025. Vietnam and Türkiye anchor the study with a decade of history and a natural contrast in dose—Türkiye tightened from 9% to a true peak of 50% while Vietnam tightened mildly and reversed within a year—and three further countries extend the test across a range of tightening severity in between.

The contributions are of three kinds:

1. **A validated price measure, confirmed across five countries.** A simple implied borrowing cost recovers each central bank's policy path without being calibrated to it, peaking in Türkiye in 2024 at 31.2% as policy peaks at 50%. Pooling all five countries, the change in this measure correlates with policy tightening dose at $r = 0.995$—a figure I read qualitatively rather than as a precise estimate, given how few countries that is—and median interest coverage falls in every single country. I use the two-country history to estimate pass-through of roughly one-third alongside a halving of median interest coverage.

2. **Two data hazards of direct relevance to this journal's readership.** First, a widely used Turkish vendor field bundles foreign-exchange revaluation into interest expense, so measures

built on it peak in the lira crises of 2018 and 2021 rather than at the policy peak—a researcher would recover currency shocks and report them as monetary transmission. Second, and more consequentially, Türkiye's inflation-accounting restatement from 2022 indexes non-monetary assets while leaving monetary debt nominal; because the factor depends on asset vintage, the distortion enters a difference-in-differences as an exposure-by-post interaction that fixed effects cannot absorb. I show this generates highly significant, wrongly signed estimates. This threatens a broad class of studies using Turkish firm-level balance-sheet data spanning 2022.

3. **A transferable diagnostic.** I show that the split-half correlation of independently estimated exposures *is* the attenuation factor, not merely a diagnostic correlated with it, and that decomposing the variance separates imprecision from impermanence. In my data, conventional standard errors implied reliabilities of 0.78–0.99 where the permanent component was in fact zero. A power calculation would have endorsed the design.

**On the central result.** The paper reports that no firm-level exposure gradient survives once contaminated outcomes are removed and the pre-period is long enough to test parallel trends, and that this null holds pooling all five countries: the exposure-by-dose interaction is insignificant on interest coverage and profitability regardless of how severely a country tightened, significant only on the price measure already shown to move with dose mechanically. I recognise that null findings warrant scrutiny, and the manuscript addresses this directly rather than by assertion: three significant results appeared during the analysis and each is shown to be an artefact—small-sample noise, accounting restatement, and pre-existing trend—by diagnostics a conventional specification would not have run, and I disclose in a footnote a fourth country (Brazil) assembled but not carried into the reported set, whose pass-through was anomalously low despite an adequate sample, so the reader can judge whether its exclusion affects the pattern. The framework explains the null structurally rather than attributing it to power.

**Fit with the journal.** The manuscript is an empirical study of corporate finance and monetary economics in emerging markets, comparative in design, and its two data-hazard findings bear directly on work using Turkish firm-level data. It engages a paper this journal has recently published and extends its question to settings without registry access.

**Declarations.** This manuscript is original, has not been published previously, and is not under consideration for publication elsewhere. There are no conflicts of interest to declare and the research received no specific funding. I am the sole author. In accordance with the journal's double anonymized review policy, identifying information is confined to the separate title page and the manuscript file contains none.

Thank you for considering this submission.

Yours sincerely,

Quang-Vinh Dang